Case Study Report

Cybercrime Type: UPI / Online Payment Fraud

1. What Is UPI Payment Fraud?

UPI (Unified Payments Interface) fraud is a type of cybercrime where criminals trick people into sending money or sharing sensitive information through UPI apps like Google Pay, PhonePe, or Paytm. The fraudster pretends to be someone trustworthy — a buyer, a bank employee, or even a friend — and manipulates the victim into approving a payment or entering their UPI PIN.

2. How It Typically Happens Step1: The Setup

Ravi, a 32-year-old from Bhopal, posted his old phone for sale on OLXT at Rs. 7,000.

Step2: The Contact

A stranger calling himself 'Captain Sharma' contacted Ravi, claiming to be an Army officer who wanted to buy the phone urgently

Step3: Building Trust

He spoke politely, gave a fake Army ID number, and said he would pay through Google Pay right away.

Step4: The Trick

He sent Ravi a 'collect request' on Google Pay for Rs. 7,000 — but told him, "Just enter your PIN to receive the money." Ravi, unaware that entering the PIN on a collect request means sending money (not receiving it), typed his PIN.

Step5: Money Gone

Rs. 7,000 was instantly transferred out of Ravi's account. The 'buyer' blocked him immediately.

3. Who Is Usually Targeted?

Anyone can be a target, but fraudsters most often go after first-time UPI users, elderly people unfamiliar with digital payments, small sellers on platforms like OLX or Facebook Marketplace, and students or daily wage workers who are in urgent need of money.

4. Consequences of the Crime

Ravi lost his savings instantly with almost no way to recover the money. Victims often feel ashamed and embarrassed, which stops many from even reporting the crime. Repeated fraud erodes public trust in digital payment systems. While such fraud is punishable under Section 66C and 66D of the IT Act, 2000, catching the fraudsters is difficult as they use fake SIM cards and VPNs.